LEGAL REFERENCE COMPENDIUM • REPUBLIC OF THE PHILIPPINES

Philippine Statutory Framework on Digital Banking, E-Wallets & Financial Fraud

A Comprehensive Guide to Republic Acts Governing E-Transactions, Money Mule Offenses, and Cybercrime

Executive Overview: Financial transactions in the Philippines via mobile apps, e-wallets (GCash, Maya), and online banking are governed by an evolving matrix of statutes. Key enforcement priorities cover money mule schemes, unauthorized transfers, phishing/smishing, electronic card skimming, and consumer redress mechanisms.

I. KEY LEGISLATIVE ACTS AT A GLANCE

Republic Act	Short Title	Enacted	Primary Scope & Target Offenses
R.A. 12010	AFASA Act	2024	Financial account scamming, money mules, social engineering schemes, 30-day hold on disputed funds.
R.A. 11765	FCPA Act	2022	Financial consumer protection, strict BSP oversight, operational duty for secure e-wallet platforms.
R.A. 11934	SIM Registration Act	2022	Mandatory SIM card registration to curb smishing, fake identity accounts, and OTP interception.
R.A. 11967	Internet Transactions Act	2023	E-commerce regulatory framework, e-marketplace liabilities, consumer dispute mechanisms.
R.A. 10175	Cybercrime Prevention Act	2012	Computer-related fraud, illegal access to banking portals, identity theft, phishing activities.
R.A. 8484	Access Devices Act (amended)	1998 / 2019	Unauthorized access devices, mobile app credential theft, ATM skimming, online banking fraud.
R.A. 10173	Data Privacy Act	2012	Protection of personal information, data breach protocols for banks and payment service providers.

II. PRIMARY ANTI-SCAM STATUTORY PROVISIONS

Anti-Financial Account Scamming Act (AFASA)

R.A. No. 12010 (2024)

The core landmark law enacted specifically to criminalize financial fraud involving digital accounts and e-wallets.

- **Money Mules Penalized:** Criminalizes renting, buying, selling, or lending bank accounts or e-wallets for illegal fund transfers.
- **Social Engineering & Phishing:** Penalizes deceitful tactics to obtain account credentials, OTPs, or personal security details.
- **30-Day Temporary Hold:** Authorizes financial institutions (Banks, EMIs) to hold disputed funds for up to 30 days during fraud verification without immediate court injunctions.

Cybercrime Prevention Act of 2012

R.A. No. 10175

Establishes core offenses involving information and communication technology systems.

- **Section 4(a)(4) - Computer-Related Fraud:** Penalizes unauthorized input, alteration, or deletion of data resulting in economic loss.
- **Computer-Related Identity Theft:** Covers unauthorized acquisition or use of digital identity credentials to access online banking portals.

III. STATUTORY FRAMEWORK (CONTINUED)

Access Devices Regulation Act (As Amended)

R.A. No. 8484 / R.A. No. 11449

Originally governing credit cards, amended by R.A. 11449 (2019) to encompass all digital banking devices.

- **Expanded Definition:** "Access devices" explicitly include online banking accounts, mobile apps, PINs, and electronic access codes.
- **Hacking & Skimming:** Penalizes unauthorized access to bank servers, card skimming, and production of counterfeit digital access credentials.
- **Higher Penalties:** Imposes reclusion temporal for large-scale skimming or hacking targeting bank systems.

Financial Products and Services Consumer Protection Act

R.A. No. 11765 (2022)

Empowers financial regulators (Bangko Sentral ng Pilipinas, SEC, Insurance Commission) to protect consumers.

- **Institutional Liability:** Mandates that Financial Service Providers (FSPs) maintain robust multi-factor authentication (MFA) and Fraud Management Systems (FMS).
- **Adjudication & Restitution:** Empowers the BSP to adjudicate financial claims and order banks/e-wallets to reimburse victims of unauthorized transactions caused by system security failures.

SIM Registration Act

R.A. No. 11934 (2022)

Complements anti-fraud efforts by removing anonymous mobile numbers used in smishing and e-wallet fraud.

- **Traceability:** Requires real-identity verification for all active mobile numbers linked to GCash, Maya, and online banking OTPs.
- **Penalties for Spoofing:** Criminalizes the sale of pre-registered SIMs, identity spoofing, and providing false identity details.

Internet Transactions Act of 2023

R.A. No. 11967

Regulates e-commerce platforms, online merchants, and digital payment intermediaries.

- **Platform Responsibility:** Establishes subsidiary liability for digital platforms facilitating fraudulent transactions if they fail to perform due diligence on merchants.

IV. REGULATORY OVERSIGHT BODIES

BSP	CICC	PNP-ACG	NBI
BANGKO SENTRAL NG PILIPINAS	CYBERCRIME INVESTIGATION CENTER	ANTI-CYBERCRIME GROUP	CYBERCRIME DIVISION

V. ENFORCEMENT MECHANISMS & DISPUTED FUNDS PROTOCOL

Coordinated Verification Protocol (AFASA Sec. 8): Upon receiving a scam report, financial institutions (Banks, EMIs) and account holders are required to initiate a joint verification process. Key secrecy laws—specifically the Bank Secrecy Law (R.A. 1405), Foreign Currency Deposit Act (R.A. 6426), and Data Privacy Act (R.A. 10173)—are explicitly waived solely for the purpose of validating disputed transactions.

VI. LEGAL REMEDIES FOR VICTIMS OF MOBILE & DIGITAL BANK SCAMS

Step-by-Step Escalation Procedure

Administrative & Criminal Avenues

1. **Immediate Hold Request:** Contact the bank/EMI hotline immediately to report unauthorized transfer and request a temporary hold under AFASA (R.A. 12010).
2. **Preservation of Evidence:** Retain all electronic receipts, reference numbers, chat logs, SMS notifications, and IP headers.
3. **Formal Complaint Filing:** File an administrative dispute with the bank's Consumer Assistance Office under R.A. 11765.
4. **BSP Escalation:** If unresolved, elevate the complaint to the BSP Consumer Protection and Market Conduct Office (CPMCO) for mediation or adjudication.
5. **Law Enforcement Report:** Submit a complaint-affidavit to the PNP Anti-Cybercrime Group or NBI Cybercrime Division for prosecution under R.A. 10175 and R.A. 12010.

VII. COMPARATIVE STATUTORY APPLICABILITY MATRIX

Modus Operandi / Incident	Primary Applicable Statute	Key Provision / Cause of Action
Money Mule (Selling GCash/Bank Account)	R.A. 12010 (AFASA)	Sec. 4 - Financial Account Scamming
Phishing / Fake Login Portals	R.A. 10175 / R.A. 12010	Computer-related Fraud & Identity Theft
Unauthorized OTP / SIM Swap Interception	R.A. 11934 / R.A. 8484	Illegal SIM possession & Access Device Fraud
Bank System Security Failure / Glitch	R.A. 11765 (FCPA)	FSP Operational Liability & Restitution
Fake E-Commerce Merchant Scam	R.A. 11967 / Act No. 3815	Internet Transactions Act & RPC Estafa